While economists pore over numbers, moments like this often come down to intangible human emotions. The main goal of policy makers, us, for the coming month will be to stop the panic that led depositors in small and medium-size banks to pull their money out in search of safer holdings. When banks lose depositor funds and other sources of money, they pull back on lending, potentially leading to a credit crunch that typically slows household and business borrowing, spending and investing. For this reason and others as follows below, I suggest no changes in the interest rates on May 2nd and then to slowly raise the FFR to 5.5% by using 25 basis point hikes and holding it there till the end of 2023.

The Federal Reserve adjusts the federal funds target rate range in response to what's happening in the economy. Adjusting rates helps the Fed achieve conditions that satisfy their dual mandate: keep prices stable and maximise employment. Retail sales in the US were down 0.4% month-over-month in February of 2023, compared to market forecasts of a 0.3% fall, and following an upwardly revised 3.2% surge in January which was the biggest gain since March of 2021. Saving rates have been increasing from 3.4% in October 2022 to 4.7% in January 2023. Although the consumers were positive about the economy, the optimism is dying down and after the recent banking crisis, sales are expected to lower even further. Inflation eased in March, though it remains significantly above the Federal Reserve's 2% target. The personal consumption-expenditures price index climbed 5% in February from a year earlier, down from 5.3% in January. The core-PCE price index—which omits volatile food and energy prices—rose 4.6% in February from a year earlier, compared with 4.7% the prior month. The Fed sees the core measure as a better predictor of future inflation. Due to the banking crisis, there was high illiquidity and the already tense

credit lines in the market which made the interest rate hike of 25 basis points feel like a 50 basis point hike. So this removed some of the pressure on the Fed to reduce inflation as the banking crisis helped in slowing the speed of money and inflation. Expecting the inflation number to lower to around 4% by the end of the year and eventually down to 2% by the middle of next year.

After a week of federal interventions to stabilise the banking system and market volatility driven by investor uncertainty, the economic outlook now hangs on two factors: private- sector confidence and Federal Reserve interest-rate policies. After the SVB failure, those who believed the U.S. would avoid recession were less sure. Goldman Sachs, for example, recently raised its estimate of the probability of recession to 35% from 25%.

Democratic legislators this week asked Mr. Powell why the Fed was still raising rates when its officials' own forecasts project unemployment rising to 4.6% from 3.4% this year, a magnitude usually seen only in recession. "To prevent a recession, yes or no, Chairman Powell, will you pause future interest rate hikes?" Rep. Pressley (DMass.) asked. Ms. Pressley's question, which Mr. Powell declined to answer, which was understandable given that in the previous 25 years, the Fed not only stopped raising rates but cut them when unemployment rose. Even with the edge-case scenario we find ourselves in, with the banking crisis and increasing unemployment, the Fed should not cut rates until next year. If the Fed decided to cut rates, then the currently high inflation of 6% will become permanent and consumers will begin to expect this level of inflation and it will become sticky. Therefore, the Fed should prioritise cooling down inflation first and foremost.

Even Philip Lowe, Australia's central bank governor, believes in not cutting rates. He said, “The decision to hold interest rates steady this month provides the board with more time to assess the state of the economy and the outlook, in an environment of considerable uncertainty”.

Bank stocks fell Thursday on revelations of losses on bond holdings caused by higher rates. With my Fed policy in place, there should be a soft landing and the stock market will steadily increase for the next 12 months. Gold reached a recent high of 2,000 a troy ounce and will reach 2,200 at least by the end of the year. If lifting the U.S. debt ceiling this year becomes politically contentious, that could also support gold by introducing credit risk to the Treasury market. The yield curve is still inverted with the 10 yr yield sitting at 3.3% and the 2 yr yield at 3.8%. Recent data has suggested the labour market is weakening. The Labor Department reported that job openings fell to the lowest level since 2021 in February, a sign that demand for workers is beginning to slow. On April 3rd, Monday, oil prices posted their steepest one-day increase in more than a year, rising 6.3% to $84.93 a barrel due to the announcement of supply cuts by Saudi Arabia.

Talking about the scenarios where I would reconsider cutting rates, if another huge bank begins to show cracks or if unemployment reaches an absurdly high level like more than 5% then I would cut interest rates for a single cycle.